

MED CENTER HEALTH DTE OPPORTUNITY PROPOSAL

OPPORTUNITY REVIEW

Prepared by Derek Moore
VP of DTE Networks
March 24, 2026



EXECUTIVE LETTER

Dear Med Center Health Leadership Team,

On behalf of Key Benefit Administrators, I am pleased to present this partnership proposal. With almost 50 years of experience, KBA today is the nation's largest, privately-held TPA. We are proud of our track record of providing exceptional health plan management to the self-funded industry, helping health systems successfully launch and manage direct-to-employer (DTE) health plans since 2016.

At Key Benefit Administrators, we are committed to being part of the solution for systemic healthcare challenges. Our approach centers on transparent cost administration, ensuring benefits are completely free from 'shared savings,' 'spread pricing,' and other practices that divert money away from patient care. We also believe integrity and core principles are central to strong healthcare systems, which is why we have never participated in reference-based pricing or similar practices.

Our decade of DTE experience has taught us that having the right market partner is critical to success. We actively market and sell our partners' healthcare services, understanding that their reputation forms the foundation of plan success. For this reason, we carefully research and vet every potential partner, often turning down health systems that lack the necessary market reputation or access.

Med Center Health stands apart as a very well positioned health system to support its own health plan. We would be honored to partner with Med Center Health and are confident in the plan's success. We look forward to discussing how our partnership can deliver exceptional value to the employers and employees you serve.

Sincerely,

Derek Moore

Executive Vice President, DTE Networks
Key Benefit Administrators

WHY KEY BENEFITS?



- Founded in 1979, headquartered in Indianapolis
- Largest Independently-Owned Full-Service Third-Party Administrator
- Specialize in Administration of Self-Funded Plans and Population Health Management
- Leader in the Direct-to-Employer Movement
- We Know and Understand the Market
- Experience Working with All Professional Teams: Agents, Networks, MGAs
- The Key Family of Companies is a Vertically Integrated group of benefit related organizations
 - 3,000+ Corporate Clients
 - 3 Million Members under Management
 - 700 Employees



MARKET
LEADER
IN
PRIVATE
LABELED
DTE PLANS

OUR 'WHY': THE PHOTO MOMENT

THE KBA REWARD THROUGH SEEING A DIFFERENCE



Better Care, Lower Costs, Real Partnerships

- All Stakeholders at the Table (Employer, Provider, KBA, Broker/Consultant)
- Reviewing Real Progress (Improved Population Health and Lower Spend)
- Deep Loyalty Between Employer and Provider Organization Built on Value

The **RED LINE** =
The year over year healthcare
component of the consumer price index

The **BLUE LINE** = What happens when you
manage your health on Main Street

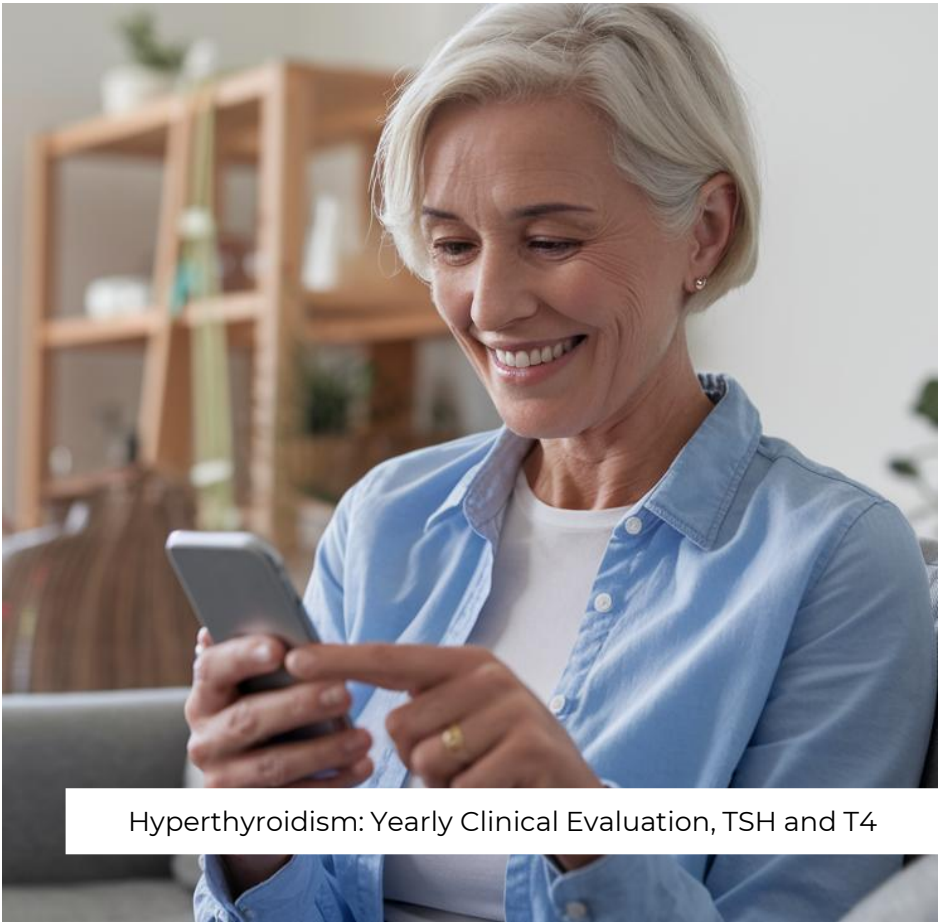


For our clients, 98% of our
Blue Lines are BELOW their
Red Lines!



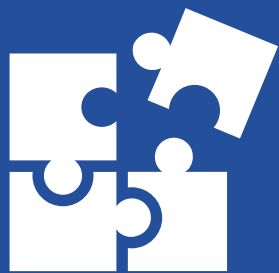
INCLUDED:
INTEGRATION WITH
EPIC EHR SYSTEM

KBA shares
evidence-based
standards of care for
27 chronic conditions
directly into the local
EHR (often Epic or
Oracle Cerner)



Hyperthyroidism: Yearly Clinical Evaluation, TSH and T4

THE MISSING
PIECE TO
VALUE-BASED
CARE



- Patient engagement is the weak link in delivering value-based care; Med Center Health’s clinical leadership and employer participation can drive better outcomes.
- KBA’s proactive care-management team supplements your care-management efforts in outreach to clients.
- Med Center Health excels in Standards of Care completion rates for the Chronically Ill, improving care and costs.
- Integrating Med Center Health’s managed care with KBA’s programs positions Med Center Health as the value leader.

COMMUNITY BASED SALES STRATEGY

COMPLETE MARKETING SYSTEM

- Customized Branding and Messaging
- Customized Brochures
- Customized Web Site
- Targeted Employer Outreach
- Sales System (Social Media, Email, Text, etc.)



Locally based sales rep with strong community ties



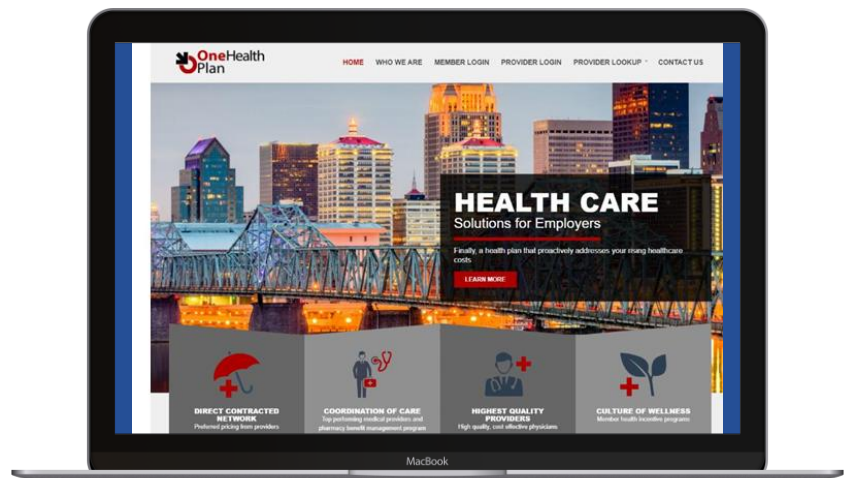
Market research and insights to identify strategic employers for early adoption and sales



Work with select broker distribution partners with aligned incentives and goals



Pipeline reporting and collaboration with our DTE provider partners



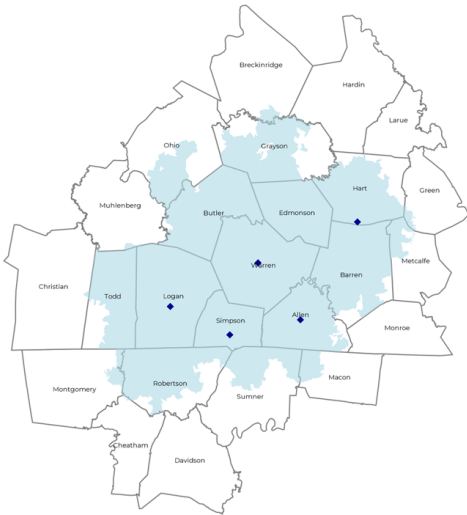
YOU Deliver Exceptional Care
YOU Control the Plan
WE Successfully Grow and Administer

180 DAY SALES PLAN

250+ TARGET LOCAL EMPLOYERS

Target Market

250+ Employers ➤ 60,000+ Employees ➤ 120,000+ Members



Commercial Employers With Headquarters In Catchment Area	Employer Size Group (# of Employees)					
	50-100	101-200	201-400	401-1,000	1,001-3,000	3,000+
	134	54	39	26	9	3

Total Employees at Employers Headquartered in Catchment Area	50-100	101-200	201-400	401-1,000	1,001-3,000	3,000+
	10,100	8,100	11,700	18,200	18,000	18,000

Total Members with Employers Headquartered in Catchment Area	50-100	101-200	201-400	401-1,000	1,001-3,000	3,000+
	18,200	14,600	21,100	32,800	32,400	32,400

180 DAY SALES TARGETS AND PLAN

>>

GTM Frontman Leads Launch

Dedicated rep identified, hired & trained

Month 1 | Market Mapping & Foundation

- Map entire market: all employers, brokers, competitive intelligence
- Identify 10-12 target brokers via Med Center Health recs, national relationships (Aon, NFP, Gallagher) & competitive intel on top producers
- Leverage KBA's Kentucky market expertise to prioritize targets
- Engage recruiter to hire 1 dedicated local salesperson
- Coordinate with provider marketing & PR teams | 25 outreaches/day begins

GTM frontman leads all activity while dedicated rep is identified & hired

750 cumulative outreaches (5% of 9,000)

Month 4 | Dual Track Outreach Accelerates

- Dedicated rep fully active in local market
- Track deeply engaged brokers -- begin offering outreach support services to accelerate their market engagement and build loyalty
- For engaged brokers: do NOT contact their employer clients directly
- Continue soft-touch employer networking across all channels daily
- Begin joint marketing plan execution (provider + health plan)

Engaged brokers identified -- outreach acceleration services begin

3,000 cumulative outreaches (33% of 9,000)

+

Dual Outreach: Employers + Brokers

Engaged brokers receive outreach acceleration

Month 2 | Broker Engagement Begins

- Begin broker meetings: present health plan value proposition to all 10-12 target brokers
- Soft-touch employer leader networking underway (events, LinkedIn, referrals)
- Interview process for 1 dedicated local salesperson
- Begin to outline employer target list & joint marketing / PR plan
- Engage PR firm | Establish baseline broker production reporting framework

1,500 cumulative outreaches (17% of 9,000)

Month 5 | Broker Loyalty & Employer Coverage

- Deepen engaged broker relationships; expand outreach acceleration services
- Soft-touch employer networking continues daily across all channels
- Distribute seminar invitations; hold DTE seminars
- Lead follow-up from seminars and digital sales campaign
- Q1 broker production report card -- full pipeline review with leadership

3,750 cumulative outreaches (42% of 9,000)

5x

Target: 5 Engaged Brokers by Month 6

4,500 outreach efforts | 25/day

Month 3 | Rep Onboarded, Cadence Set

- Hire 1 local salesperson; enroll in KBA training program (4 weeks)
- Dedicated rep shadows GTM frontman; joins broker meetings
- Continue dual outreach: broker engagement + soft-touch employer networking
- Refine employer target list based on broker feedback
- Construct digital sales campaign cadence for broker and employer channels

2,250 cumulative outreaches (25% of 9,000)

Month 6 | Milestone: 5 Engaged Brokers

- Reach target of 5 deeply engaged brokers by end of Month 6
- Finalize list of non-engaged brokers -- prepare aggressive employer outreach plan for Month 7+
- Engaged brokers continue receiving full outreach acceleration services
- Execute PR plan; lead follow-up from seminars
- Set pipeline review cadence with provider leadership for Phase 2

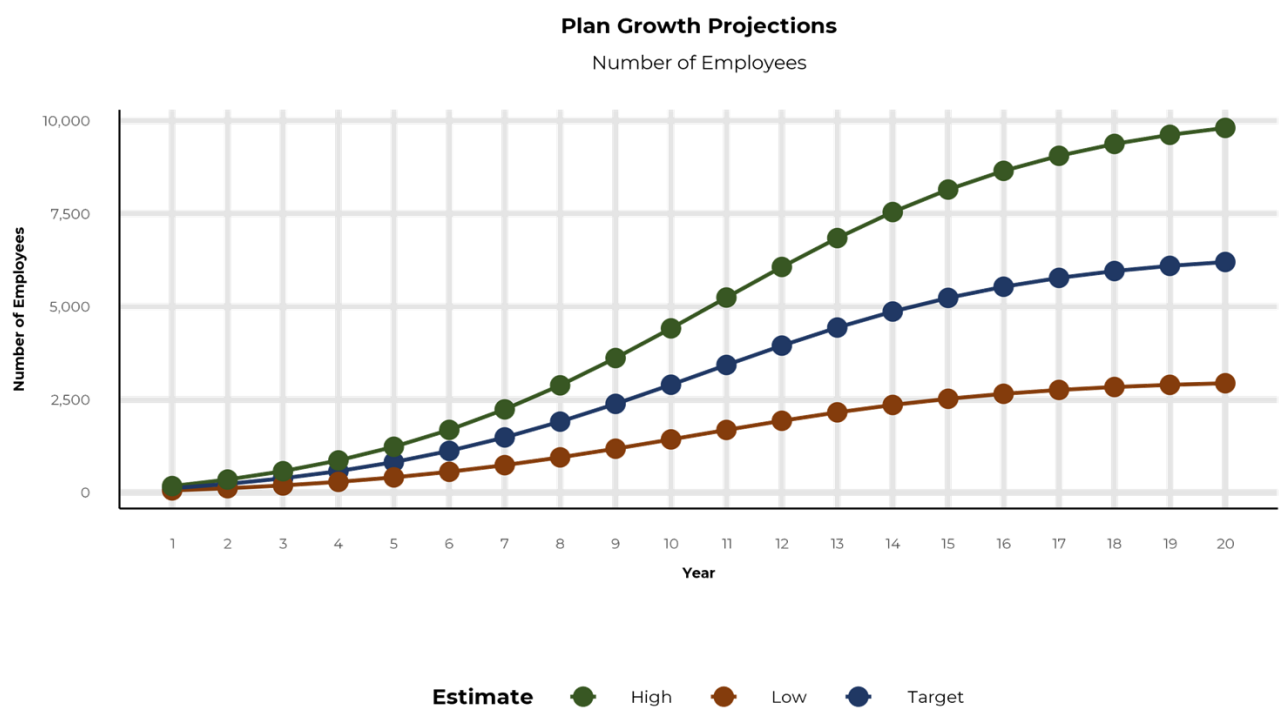
Month 6: Assess broker engagement status & activate Phase 2 plan

4,500 cumulative outreaches (50% of 9,000 -- Halfway!)

PREMIUM HEALTHCARE BRANDS

Health System	HCAHPS Recommendation Percentile	CMS Stars Percentile	Mortality Percentile	Readmission Percentile	KBA Brand Quality Score
Med Center Health	47	31	63	72	61
HCA Healthcare	44	46	75	53	60
TJ Regional Health	30	63	67	47	56

GENERATE PREMIUM PLAN GROWTH



PROJECTED GROWTH DETAILS

D G R O W

Year	Employees	Members	Percent of Members Choosing Med Center Health for Inpatient Care	Percent of Members Choosing Med Center Health for Outpatient Care
1	100	200	77%	70%
2	200	400	77%	70%
3	400	700	77%	73%
4	600	1,100	77%	74%
5	800	1,400	77%	74%
6	1,100	2,000	77%	74%
7	1,500	2,700	77%	74%
8	1,900	3,400	77%	74%
9	2,400	4,300	77%	74%
10	2,900	5,200	77%	75%
11	3,400	6,100	77%	75%
12	4,000	7,200	77%	75%
13	4,400	7,900	77%	75%
14	4,900	8,800	77%	75%
15	5,200	9,400	77%	75%
16	5,500	9,900	77%	75%
17	5,800	10,400	77%	75%
18	6,000	10,800	77%	75%
19	6,100	11,000	77%	75%
20	6,200	11,200	77%	76%

Target Member Growth				
Metric	Year 1	Year 2	Year 3	Year 4
Number of Members	200	400	700	1,000
Incremental Margin	115.7K	231.4K	457.8K	663.3K
Network Access Fee	2.4K	4.8K	8.4K	12.0K
Implementation Fee (One-Time)	-150.0K	0.0K	0.0K	0.0K
Sales and Marketing Costs	-180.0K	-180.0K	-180.0K	-180.0K
Net Margin Change	-211.9K	56.2K	286.2K	495.3K

COSTS AND PROFITABILITY

Plan Set-Up Fees

Plan and network creation, registration, marketing, sales, branding and launch.

Yearly Sales Fees

Two dedicated sales leaders and ongoing sales/marketing support.

Year 1 Costs (one time)	\$150K
-------------------------	--------

Yearly Sales Cost	\$180K
-------------------	--------

Key Benefit Administrators does not charge health systems for plan administration, network management, patient credit cards, Key Incentive Plan administration, Epic integration, administrative reporting, or partnership consulting.

YEAR 4 MODELED P&L

Pre-DTE Cohort of 1,000 Employees	Inpatient	Outpatient	Professional	Total
Revenue†	\$ 1,928,560	\$ 2,504,403	\$ 1,169,535	\$ 5,602,497
Net Income‡	\$ 647,996.1	\$ 841,479.3	\$ 392,963.7	\$ 1,882,439

With DTE	Inpatient	Outpatient	Professional	Total
Revenue°	\$ 2,122,614	\$ 3,693,449	\$ 1,724,809	\$ 7,540,872
Net Income*	\$ 713,198.2	\$ 1,240,999	\$ 579,536	\$ 2,533,733

† Assuming proportional revenues from market shares of 70% (inpatient) and 50% (outpatient)

‡ Conservatively assuming a commercial margin of 33.6% (80% of the estimated commercial margin)

° Assuming 77% inpatient and 74% market steerage based on KBA narrow network DTE experience (see previous slide)

* Conservatively assuming a commercial margin of 33.6%, with a 10 percentage-point reduction to reflect competitive-edge rates and a 10 percentage-point increase due to lower billing costs and higher patient responsibility collections because of the member convenience card.

Total Increase in Net Income	\$ 651,294.1
Network Access Fee (Revenue) of \$1 PMPM	\$ 12,000
Total Profit Growth	\$ 663,294.1
Minus Implementation Fee (One-Time)	-\$ 0
Minus Sales and Marketing (Annual – Ongoing)	-\$ 180,000
Total	\$ 483,294.1

Early Stage

Gaining Name Recognition, Early Growth

New Revenue:
\$1.04M

New Profit:
\$0.16M

Growth Stage

Strong Reputation, Strong Growth

New Revenue:
\$5.88M

New Profit:
\$1.87M

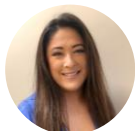
Mature Stage

High Profitability, Market Saturation

New Revenue:
\$11.65M

New Profit:
\$3.87M

IMPLEMENTATION TEAM AND TIMELINE



Director, Implementation and Network

I joined Key Benefit Administrators in 2000 and have been in the Health Insurance Industry for 20+ years. My focus has been Leadership in Operations, Carrier and Provider Network Relations and Implementation Management.

Office: (803) 323-7974 | Email: Christine.Vinesett@keybenefit.com

Christine Vinesett



Network Operations Lead

Julie Caskey joined Key Benefit Administrators (KBA) in 2021. Julie brings an extensive background with 30+ years in the Health Insurance Industry. Julie's focus has been in Provider Network and Relationship Management.

Office: 317-712-4003 | Email: Julie.Caskey@keybenefit.com

Julie Caskey



DTE Implementation and Relationship Coordinator

Deja joined Key Benefit Administrators in 2023 and has been in the Health Insurance Industry for 10 years. Deja's focus has been in Provider Network and Relationship Management.

Office: 803-396-4836 | Email: Dejanetta.Pettaway@keybenefit.com

Dejanetta (Deja)
Pettaway

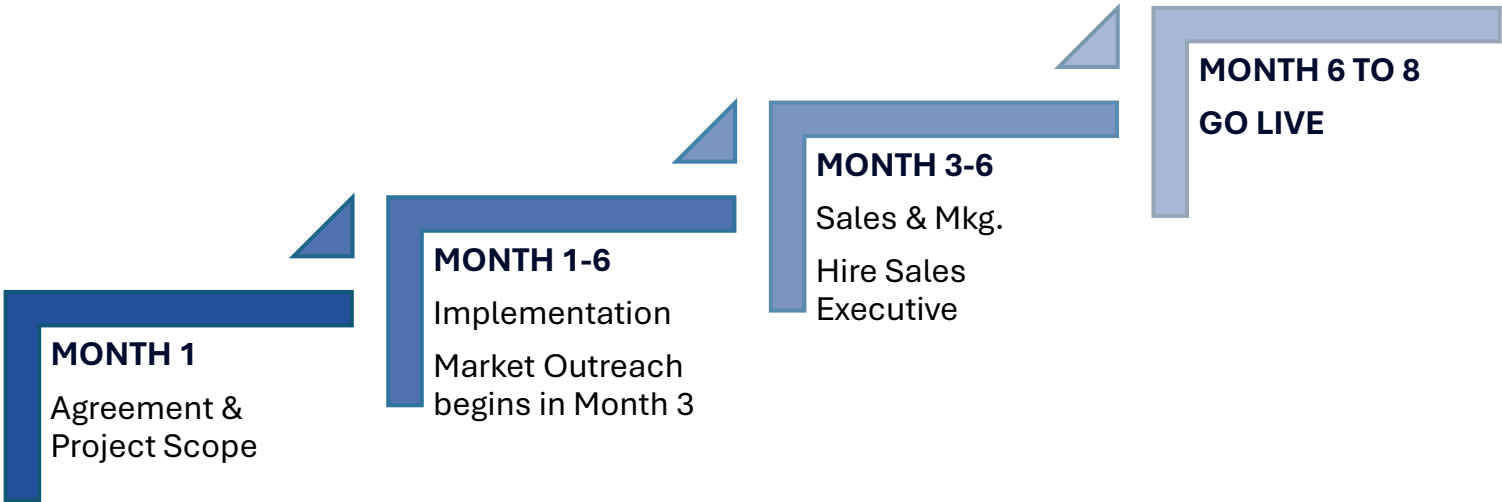


DTE Implementation and Relationship Coordinator

Darlene Grindstaff joined Key Benefit Administrators in 2014 and has been in the Health Insurance Industry for 11 years. Darlene's focus has been in Implementation, Provider Network, and Relationship Management.

Office: 803-396-4784 | Email: Darlene.Grindstaff@keybenefit.com

Darlene Grindstaff



KBA TOTAL QUALITY METRICS

300+

TOTAL QUALITY MEASURES

50,000+

UNIQUE AUDITS ANNUALLY

\$200M+

PREMIUM & CLAIMS REVIEWED ANNUALLY

New Business / Renewals

New Case Accuracy	2023 KBA 99.86%	2024 KBA 100.00% ↑	INDUSTRY N/A	GOAL 99.75%
Renewal Case Accuracy	2023 KBA 99.96%	2024 KBA 100.00% ↑	INDUSTRY N/A	GOAL 99.75%
Fulfillment Materials Audit	2023 KBA 99.99%	2024 KBA 99.98% ↓	INDUSTRY N/A	GOAL 100%

Enrollment Center

Soft Skills Audit	2023 KBA 99.43%	2024 KBA 99.22% ↓	INDUSTRY N/A	GOAL 98.00%
Procedural Skills Audit	2023 KBA 98.26%	2024 KBA 98.23% ↓	INDUSTRY N/A	GOAL 97.00%

Billing & Eligibility Quality

Eligibility Accuracy	2023 KBA 100.00%	2024 KBA 100.00%	INDUSTRY N/A	GOAL 99.75%
Plans/Rates/Coverage Audits	2023 KBA 100.00%	2024 KBA 100.00%	INDUSTRY N/A	GOAL 99.75%
Cash Receipts Logging	2023 KBA 99.97%	2024 KBA 99.78% ↓	INDUSTRY N/A	GOAL 98.00%
Cash Posting Accuracy	2023 KBA 99.96%	2024 KBA 99.78% ↓	INDUSTRY N/A	GOAL 97.00%

Claims Quality

Turn Around Time (Days)	2023 KBA 3.79	2024 KBA 6 ↓	INDUSTRY 10	GOAL 7
% Paid within 10 Bus Days	2023 KBA 88.90%	2024 KBA 87.34% ↓	INDUSTRY 80.00%	GOAL 85.00%
Financial Accuracy	2023 KBA 99.30%	2024 KBA 99.44% ↑	INDUSTRY 99.00%	GOAL 99.00%
Procedural Accuracy	2023 KBA 99.00%	2024 KBA 99.16% ↑	INDUSTRY N/A	GOAL 95.00%
% of Claims Audited	2023 KBA 3.77%	2024 KBA 3.80% ↑	INDUSTRY 1%	GOAL 3%

Customer Experience Quality

Average Speed to Answer	2023 KBA 22 sec	2024 KBA 44 sec ↓	INDUSTRY <45s	GOAL <30s
% Answered w/in 45 Sec	2023 KBA 84.90%	2024 KBA 75.00% ↓	INDUSTRY 80-60%	GOAL 80-30%
Soft Skills Audit	2023 KBA 99.50%	2024 KBA 99.54% ↑	INDUSTRY N/A	GOAL 98.00%
Procedural Audit	2023 KBA 99.22%	2024 KBA 99.10% ↓	INDUSTRY N/A	GOAL 97.00%
Email Correspondence Audit	2023 KBA 100.00%	2024 KBA 100.00%	INDUSTRY N/A	GOAL 98.00%
Web Chat Corresp. Audit	2023 KBA 99.64%	2024 KBA 99.50% ↓	INDUSTRY N/A	GOAL 98.00%
Abandonment Rate	2023 KBA 1.00%	2024 KBA 1.78% ↓	INDUSTRY <5%	GOAL <1%

With over 45 years of delivery excellence, KBA is the best-positioned partner in the market to support rapid-scale growth



Dedicated Large Case Implementation Teams – Specialized onboarding staff with deep expertise in high-volume, high-complexity group transitions.

Specialized EDI Team – Dedicated experts who streamline vendor and data partner integrations, ensuring rapid, accurate, and secure connectivity.

Compliance & Security at Scale – HIPAA-compliant systems to maintain quality and regulatory standards under high volume.

High-Performance Claims Processing – Automation and dedicated processing workflows to handle surges in claims volume without delays.

Proven Capable – Experience implementing and administering plans for groups exceeding 20,000 members, including complex multi-state and multi-product arrangements.

Flexible Infrastructure – Cloud-based platforms that scale processing capacity, data storage, and integrations without disruption.

Configurable and Flexible Plan Designs – Ability to tailor benefits, eligibility rules, and network arrangements for diverse employee populations.

Rapid Direct-to-Employer Network Builds – Ability to design and launch custom networks and branded solutions within 90–120 days.

Data Integration Expertise – Proven ability to ingest, map, and validate large, complex datasets from multiple sources.



YOUR PARTNER TO REVOLUTIONIZE KENTUCKY HEALTHCARE

